

Meta Platforms Inc

AI Outlook Flips as Muse Spark 1.1 Model Advances, with Signs of External AI Monetization & AI Product Cycle; Incrementally Positive, But Remain Neutral

Meta shares have traded up +23% off late June lows (vs. SPX +3%) driven by improved sentiment around META's AI strategy, the launch of external AI monetization, & signs of an AI product cycle. [Muse Spark 1.1](#) comes with significant improvements across agentic & coding roughly a year after Meta's AI retrenchment via MSL. Continued model progression may push Meta closer to the frontier of personal superintelligence, tighten the competitive gap with Anthropic, OpenAI, & Google, & signal that Meta could start building more compelling AI products. Meta's [Model API in public preview](#) represents Meta's first form of external AI monetization, and lower relative API pricing (~25% the cost vs. leading AI models) should enable Meta to accelerate enterprise monetization at attractive steady-state operating margins. [Reuters reported](#) that Meta plans to reach 7GW of compute in 2026 & double capacity to 14GW in 2027. **We expect Meta to continue to work towards core AI products that can be leveraged across its base of ~4B users, but Meta has the flexibility to monetize improved models & significant infrastructure to generate better ROI across AI spend.** We currently project Meta capex of \$142B in 2026 (+104%) & \$202B in 2027 (+42%), and we'd expect 2027 capex to move higher. Overall, we're encouraged by Meta's model progression and willingness to pivot toward external monetization to participate in large-scale AI economic capture which could drive earnings upside. To become more positive, we look for increasing signs of Meta using Muse Spark 1.1 & future models internally, greater developer & enterprise adoption, & potential LLM share shift. 2027 capex could certainly move higher, but that would be better received w/improving monetization. A rising share price is also likely to renew discussions around a potential equity raise on the heels of Google's in early June, but that could also be better received w/Meta on the offensive. We remain Neutral-rated & our December 2026 PT of \$725 is based on 21x 2027E GAAP EPS of \$34.19.

- **Muse Spark 1.1: Moving Closer to the Frontier.** META introduced [Muse Spark 1.1](#) from MSL, a multimodal reasoning model, along with media generation models [Muse Image & Muse Video \(in preview\)](#). Muse Spark 1.1 comes with significant improvements across agentic & coding, & META believes the model outperforms Gemini across various benchmarks. Additionally, the performance of META's upcoming [Watermelon model](#) could match GPT 5.5. Roughly a year after META's AI retrenchment w/MSL, model advancements may push Meta closer to the frontier of personal superintelligence and tighten the gap with large AI labs Anthropic & OpenAI, along w/Google, which could signal the start of an AI product cycle.
- **Meta Model API: External AI Monetization & Enterprise Push.** Meta introduced [Meta Model API in public preview](#), enabling developers to build with Muse Spark 1.1. This represents Meta's first form of external AI monetization, and a [Bloomberg interview with Zuckerberg](#) suggests that Meta will charge API pricing at ~25% of the leading AI models from Anthropic & OpenAI. It also builds upon Meta's enterprise initiatives following the [launch](#)

Neutral

META, META US

Price (10 Jul 26):\$669.21

Price Target (Dec-26):\$725.00

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Quarterly Forecasts (FYE Dec)

Adj. EPS (\$)

	2025A	2026E	2027E
Q1	7.17	8.92A	
Q2	8.11	8.81	
Q3	8.69	8.67	
Q4	9.97	10.15	
FY	33.93	36.56	43.28

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	65	73	80	68	57
Growth	62	72	74	72	49
Momentum	69	61	33	6	55
Quality	14	22	7	12	5
Low Vol	43	40	44	74	30
ESGQ	73	92	94	96	96

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 6 for analyst certification and important disclosures.

Price Performance



	YTD	1m	3m	12m
Abs	1.4%	17.2%	6.2%	-8.0%
Rel	-9.3%	13.0%	-4.9%	-28.6%

Company Data

Shares O/S (mn)	2,564
52-week range (\$)	796.25-520.26
Market cap (\$ mn)	1,715,854.00
Exchange rate	1.00
Free float (%)	99.9%
3M ADV (mn)	17.34
3M ADV (\$ mn)	10,575.8
Volatility (90 Day)	46
Index	S&P 500
BBG ANR (Buy Hold Sell)	73 6 0

Key Metrics (FYE Dec)

\$ in millions	FY25A	FY26E	FY27E
Financial Estimates			
Revenue	200,966	254,057	304,893
Adj. EBIT	105,213	117,094	132,849
Adj. EBITDA	122,684	147,415	181,280
Adj. net income	87,340	93,871	111,260
Adj. EPS	33.93	36.56	43.28
BBG EPS	30.56	38.51	43.68
Cashflow from operations	115,801	141,616	181,576
FCFF	47,053	1,384	(18,826)
Margins and Growth			
Revenue Growth Y/Y (%)	22.2%	26.4%	20.0%
EBIT margin	52.4%	46.1%	43.6%
EBIT Growth Y/Y (%)	19.7%	11.3%	13.5%
EBITDA margin	61.0%	58.0%	59.5%
EBITDA Growth Y/Y (%)	20.0%	20.2%	23.0%
Net margin	43.5%	36.9%	36.5%
Adj. EPS growth	22.9%	7.7%	18.4%
Ratios			
Adj. tax rate	19.0%	19.0%	19.0%
Interest cover	105.3	65.6	84.2
Net debt/Equity	NM	NM	0.1
Net debt/EBITDA	NM	NM	0.2
ROE	43.7%	35.4%	30.2%
Valuation			
FCFF yield	2.7%	0.1%	(1.1%)
Dividend yield	-	-	-
EV/Revenue	8.7	7.0	5.9
EV/EBITDA	14.2	12.0	10.0
Adj. P/E	19.7	18.3	15.5

Summary Investment Thesis and Valuation

Investment Thesis

We believe Meta's virtual ownership of the social graph, strong competitive moat, and focus on the user experience position it to become an enduring blue-chip company built for the long term. Meta reach and engagement continue to drive network effects, and its targeting abilities provide significant value to advertisers. META is delivering significant AI-driven ad ranking & recommendation gains, supporting greater engagement, ROAS, & revenue growth. However, AI monetization remains less proven vs. Internet peers and heavy capex drives multi-year FCF declines. We look for updates across AI execution, model launches & efficacy, & agentic product rollout. Our December 2026 PT of \$725 is based on ~21x our 2027E GAAP EPS of \$34.19, further supported by our DCF model.

Performance Drivers

Market	46%
Sector	20%
Macro	1%
Style	1%
Idiosyn.	31%

Factors	6M Corr	1Y Corr
Market: MSCI US	0.42	0.68
Sect: Telecom Services	0.59	0.62
Ind: Media	0.57	0.61
Macro:		
Non-Energy Commodity	-0.12	-0.25
US 10yr Breakeven	0.01	-0.19
US 10yr yield	-0.15	-0.08
Quant Styles:		
Growth	0.23	0.27
DivYld	-0.09	-0.27
Value	-0.21	-0.25

[of Business Agent platform](#) & updates across Meta's broader Business Agent strategy. We're optimistic on early signs of AI monetization beyond digital advertising, but much will depend on traction of Muse Spark 1.1 & the subsequent Watermelon, and whether Meta gains trust from developers & enterprises. API pricing at a fraction of competitors should help Meta gain external monetization scale.

- **Monetizing Compute: Capturing Upside While Maintaining Flexibility.** Building on [our preliminary thoughts](#) on Meta's potential cloud compute & monetization strategy, recent [Bloomberg interview](#) comments from Mark have provided greater clarity around how the business could fit into Meta's AI strategy. He suggested that Meta is using all of its compute capacity, but noted that capacity rental deals could prove highly accretive. We believe SpaceX's recent compute deals with Anthropic & Google range from ~\$30-\$50 per watt, a premium to industry average neocloud rates in the \$10-\$20 per watt range, largely reflecting the lack of spare capacity in the market. Mark also framed the potential to build a broader hyperscaler offering as a backstop if Meta overbuilds capacity relative to its own internal needs. [Reuters reported](#) that Meta plans to reach 7GW of compute in 2026 & double capacity to 14GW in 2027. If Meta can reach these targets, we believe it should have enough capacity to serve both its internal needs for digital ads & FOA AI products, along w/external model API & raw compute opportunities.

Investment Thesis, Valuation and Risks

Meta Platforms Inc (*Neutral; Price Target: \$725.00*)

Investment Thesis

We believe Meta's virtual ownership of the social graph, strong competitive moat, and focus on the user experience position it to become an enduring blue-chip company built for the long term. Meta reach and engagement continue to drive network effects, and its targeting abilities provide significant value to advertisers. META is delivering significant AI-driven ad ranking & recommendation gains, supporting greater engagement, ROAS, & revenue growth. However, AI monetization remains less proven vs. Internet peers and heavy capex drives multi-year FCF declines. We look for updates across AI execution, model launches & efficacy, & agentic product rollout. Our December 2026 PT of \$725 is based on ~21x our 2027E GAAP EPS of \$34.19, further supported by our DCF model.

Valuation

Our December 2026 PT of \$725 is based on ~21x our 2027E GAAP EPS of \$34.19, further supported by our DCF model. We apply a premium to the SPX as we have greater confidence in Meta's strong top-line growth and ongoing cost efficiencies. We use this valuation approach as we believe it appropriately balances Meta's valuation relative to its growth and industry peers. Our DCF results in an estimated value of \$725 per share and employs a ~14% WACC and a +10% terminal growth rate.

Risks to Rating and Price Target

Upside risks include: **1)** AI Ad initiatives drive engagement, revenue growth, & monetization; **2)** Muse Spark & MSL model launches resonate and drive model efficacy, user growth, & engagement; **3)** ROAS gains drive greater ad spend and market share gains, supporting revenue growth; & **4)** Investments ease & cost discipline drives greater than expected GAAP EPS & FCF.

Downside risks include: **1)** AI investments are heavy & monetization lags, which weighs on GAAP OI, GAAP EPS, & FCF; **2)** slower than expected revenue growth limits AI monetization upside; **3)** AI product & model launches do not resonate, weighing on engagement, revenue, & margins; **4)** competition for online and mobile ad dollars from Google, TikTok, OpenAI, and other online advertising companies; & **5)** regulatory litigations & charges.

Meta Platforms Inc: Summary of Financials

Income Statement - Annual						Income Statement - Quarterly				
	FY24A	FY25A	FY26E	FY27E	FY28E		1Q26A	2Q26E	3Q26E	4Q26E
Revenue	164,501	200,966	254,057	304,893	-	Revenue	56,311A	60,556	63,530	73,660
COGS	(29,076)	(35,050)	(46,430)	(56,405)	-	COGS	(9,945)A	(11,021)	(11,689)	(13,774)
Gross profit	135,425	165,916	207,627	248,488	-	Gross profit	46,366A	49,535	51,840	59,886
SG&A	(19,030)	(22,325)	(22,963)	(26,526)	-	SG&A	(5,102)A	(5,450)	(5,781)	(6,629)
Adj. EBITDA	102,275	122,684	147,415	181,280	-	Adj. EBITDA	35,081A	34,842	35,871	41,620
D&A	(15,498)	(18,616)	(31,522)	(49,692)	-	D&A	(5,999)A	(7,207)	(8,661)	(9,655)
Adj. EBIT	87,867	105,213	117,094	132,849	-	Adj. EBIT	29,353A	27,950	27,527	32,263
Net Interest	(715)	(1,165)	(2,248)	(2,152)	-	Net Interest	(562)A	(562)	(562)	(562)
Adj. PBT	89,151	107,870	115,936	137,412	-	Adj. PBT	28,233A	27,937	27,515	32,251
Tax	(8,304)	(25,475)	(3,921)	(14,846)	-	Tax	5,021A	(2,612)	(2,835)	(3,494)
Minority Interest	0	0	0	0	-	Minority Interest	0A	0	0	0
Adj. Net Income	72,183	87,340	93,871	111,260	-	Adj. Net Income	22,860A	22,620	22,278	26,113
Reported EPS	23.86	23.49	32.38	34.19	-	Reported EPS	10.44A	6.81	6.78	8.35
Adj. EPS	27.61	33.93	36.56	43.28	-	Adj. EPS	8.92A	8.81	8.67	10.15
DPS	-	-	-	-	-	DPS	-	-	-	-
Payout ratio	-	-	-	-	-	Payout ratio	-	-	-	-
Shares outstanding	2,614	2,574	2,568	2,570	-	Shares outstanding	2,564A	2,567	2,569	2,572
Balance Sheet & Cash Flow Statement						Ratio Analysis				
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E
Cash and cash equivalents	43,889	35,873	51,769	68,484	-	Gross margin	82.3%	82.6%	81.7%	81.5%
Accounts receivable	16,994	19,769	19,888	19,818	-	EBITDA margin	62.2%	61.0%	58.0%	59.5%
Inventories	-	-	-	-	-	EBIT margin	53.4%	52.4%	46.1%	43.6%
Other current assets	39,162	53,080	68,869	68,869	-	Net profit margin	43.9%	43.5%	36.9%	36.5%
Current assets	100,045	108,722	140,527	157,171	-	ROE	43.0%	43.7%	35.4%	30.2%
PP&E	121,346	176,400	292,308	444,760	-	ROA	28.5%	27.2%	21.1%	18.3%
LT investments	-	-	-	-	-	ROCE	37.1%	35.0%	27.2%	21.5%
Other non current assets	54,663	80,899	90,709	90,709	-	SG&A/Sales	11.6%	11.1%	9.0%	8.7%
Total assets	276,054	366,021	523,543	692,640	-	Net debt/equity	NM	NM	NM	0.1
Short term borrowings	0	0	0	1,500	-	P/E (x)	24.2	19.7	18.3	15.5
Payables	7,687	8,894	15,469	18,294	-	P/BV (x)	9.6	7.9	5.5	4.1
Other short term liabilities	25,909	32,942	39,981	48,148	-	EV/EBITDA (x)	17.0	14.2	12.0	10.0
Current liabilities	33,596	41,836	55,449	67,942	-	Dividend Yield	-	-	-	-
Long-term debt	28,826	58,744	108,748	154,498	-	Sales/Assets (x)	0.7	0.6	0.6	0.5
Other long term liabilities	30,995	48,198	46,068	46,068	-	Interest cover (x)	143.0	105.3	65.6	84.2
Total liabilities	93,417	148,778	210,265	268,508	-	Operating leverage	138.3%	89.1%	42.7%	67.2%
Shareholders' equity	182,637	217,243	313,278	424,132	-	Revenue y/y Growth	21.9%	22.2%	26.4%	20.0%
Minority interests	-	-	-	-	-	EBITDA y/y Growth	31.9%	20.0%	20.2%	23.0%
Total liabilities & equity	276,054	366,021	523,543	692,640	-	Tax rate	19.0%	19.0%	19.0%	19.0%
BVPS	69.87	84.40	122.00	165.01	-	Adj. Net Income y/y Growth	30.9%	21.0%	7.5%	18.5%
y/y Growth	19.9%	20.8%	44.6%	35.3%	-	EPS y/y Growth	31.6%	22.9%	7.7%	18.4%
Net debt/(cash)	(48,989)	(22,848)	(775)	29,760	-	DPS y/y Growth	-	-	-	-
Cash flow from operating activities	91,328	115,801	141,616	181,576	-					
o/w Depreciation & amortization	15,498	18,616	31,522	49,692	-					
o/w Changes in working capital	1,050	(885)	(1,481)	11,062	-					
Cash flow from investing activities	(47,150)	(102,003)	(158,158)	(203,344)	-					
o/w Capital expenditure	(37,256)	(69,691)	(142,052)	(202,144)	-					
as % of sales	22.6%	34.7%	55.9%	66.3%	-					
Cash flow from financing activities	(40,781)	(20,370)	36,874	38,483	-					
o/w Dividends paid	-	-	-	-	-					
o/w Net debt issued/(repaid)	10,432	29,906	50,000	47,250	-					
Net change in cash	2,611	(6,337)	20,338	16,715	-					
Adj. Free cash flow to firm	54,651	47,053	1,384	(18,826)	-					
y/y Growth	23.0%	(13.9%)	(97.1%)	(1460.5%)	-					

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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Meta Platforms Inc (META, META US) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Jun 27, 2012. All share prices are as of market close on the previous business day.

Date	Rating	Price (\$)	Price Target (\$)
27-Jul-23	OW	298.57	425
04-Oct-23	OW	300.94	400
26-Oct-23	OW	299.53	420
02-Feb-24	OW	394.78	535
25-Apr-24	OW	493.50	480
01-Aug-24	OW	474.83	610
26-Sep-24	OW	568.31	640
31-Oct-24	OW	591.80	660
18-Dec-24	OW	619.44	725
08-Apr-25	OW	516.25	610
01-May-25	OW	549.00	675
04-Jun-25	OW	666.85	735
11-Jul-25	OW	727.24	795
31-Jul-25	OW	695.21	875
30-Oct-25	OW	751.67	800
29-Jan-26	OW	668.73	825
30-Apr-26	N	669.12	725

The chart(s) show J.P. Morgan's continuing coverage of the stocks; the current analysts may or may not have covered it over the entire period.
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IB clients**	95%	92%	87%

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